Economic data and sensible thought are abandoned for greed. Herd mentality takes over and the mass follow the leader — the bull — without thought or reasoning. In bubbles, it is of no consequence that the price is irrationally high. It only matters that it can be sold for an even higher irrational price at a later date. As happened to the Sensex, bubbles end with steep declines, where most of the speculative gains are quickly wiped out.

The problem is that it is hard to tell a bubble until it bursts. When central or other regulatory bodies intervene, it brings about what it was intended to prevent — a free fall.

There are two types of bubbles.

The first type of asset bubble is created by banks or brokerage houses. They pump up the price of an asset. The assets can be shares, currencies or other financial instruments.

In the second type of bubble, avaricious and susceptible investors are lured into investment swindles by the promise of impossibly high profits and interest payments. In India, the late 1980s and early 1990s witnessed many initial public offerings (IPOs) of investment and other companies which hinted at huge returns and ensnared gullible investors.

When a bubble lasts, a whole host of pundits, analysts and schools try and justify it. I recollect during the Harshad Mehta led boom, pundits justifying it by stating Indian stocks were greatly undervalued and that they had nowhere to go but up. During the boom of 2006-2007, the bubble was justified by saying that the potential of Indian companies was unimaginable — India is the glowing star and the economy is going to grow even faster, went the refrain. People even argued that the new and vibrant economy was exempt from “old rules and archaic modes of thinking”. They insisted that productivity had surged and established a steeper but sustainable, trend line. I remember an argument with regard to the valuation of ACC in the early 1990s. The gurus argued that the company should not be valued on the basis of its fundamentals but on what it would cost to build a similar company. The trouble is that these learned people sound authoritative and so sure of themselves that individual investors believe them.

As a fundamental investor, you must be wary of such “This time it's different” arguments. If you cannot understand the reason for the rise in the prices of stocks; if the reason for growth is speculative; if everyone including your maids and taxi drivers are talking of shares, then it would be wise to sell your holdings. I remember in late 2007, a friend wondering